Global Economic Prospects

WORLD BANK GROUP

HIGHLIGHTS from Chapter 4:
Navigating Volatility: Fiscal Policy and Commodity Price Swings

Key Points

- *Commodity-exporting emerging market and developing economies (EMDEs) have exhibited weaker fiscal positions than other EMDEs since 2000, on average.*
- *The fiscal policy response following a positive commodity price shock suggests that much of the revenue windfall is spent after five years, rather than saved.*
- *Fiscal dynamics over commodity price cycles differ across commodity exporters: primary balances in energy and metal exporters tend to improve in booms and weaken in slumps; agricultural exporters show less adjustment.*
- *Building fiscal resilience requires stronger fiscal frameworks, improved domestic revenue mobilization, and greater economic diversification.*

Fiscal positions in commodity-exporting EMDEs are weaker than those in other EMDEs. Over 2000–25, median fiscal revenues and primary expenditures were each about 3 percentage points of GDP below those in other EMDEs, and the gap has widened in recent years (figures 1.A and 1.B). Since the global financial crisis, weak fiscal positions have contributed to growing debt risks in commodity exporters: although their average debt-to-GDP remains lower than in other EMDEs, commodity exporters have experienced a sharper increase in debt ratios. Recent commodity market disruptions have brought renewed attention to the fiscal challenges posed by commodity price volatility.

Fiscal policy in commodity-exporting EMDEs responds to commodity price shocks gradually. On average, a 1 percent increase in commodity prices raises fiscal revenues by about 0.3 percent in the same year and 0.4 percent after five years. Primary spending rises only modestly at first but increases cumulatively by about 0.4 percent over the same horizon, suggesting that much of the revenue windfall is gradually spent, rather than saved (figure 1.C).

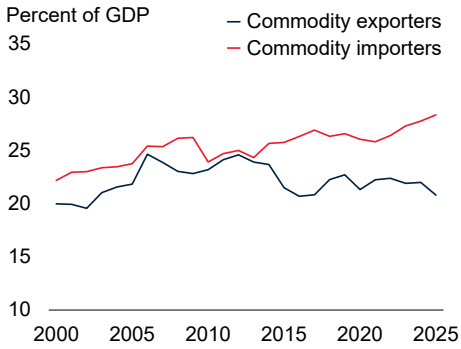
Fiscal dynamics over commodity price cycles differ from short-run responses to price shocks. In energy exporters, spending remains broadly stable over the cycle, allowing the median primary balance to improve by about 0.9 percentage point of GDP per year in booms and weaken by about 1.1 percentage point in slumps (figure 1.D). Metal exporters display a similar but less pronounced pattern. In contrast, primary balances in agricultural exporters show little difference across booms and slumps as expenditure growth offsets revenue gains, contributing to less favorable debt dynamics.

Fiscal frameworks in commodity exporters have strengthened since 2000, reflecting increasing use of sovereign wealth funds (SWFs), fiscal rules, and—to a lesser extent—fiscal councils (figure 1.E). This institutional deepening helps explain the buffer accumulation and fiscal discipline observed over commodity cycles. Yet these frameworks have not translated into more contained spending responses to large price shocks, exposing a critical gap between their adoption and effectiveness.

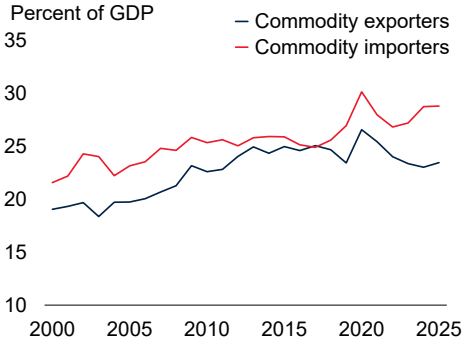
Robust fiscal frameworks, greater revenue mobilization, and economic diversification are needed to improve fiscal resilience in commodity exporters. The design of fiscal rules can be improved to curb spending pressures during commodity windfalls while preserving space for support during shortfalls. SWFs need stronger safeguards against excessive withdrawals, and clearer savings and stabilization mandates. Wider use of fiscal councils and stronger public debt management frameworks can help improve transparency, oversight, and accountability. Measures to broaden the tax base and reforms to poorly targeted subsidies can further improve resilience (figure 1.F).

Figure 1. Navigating Volatility: Fiscal Policy and Commodity Price Swings

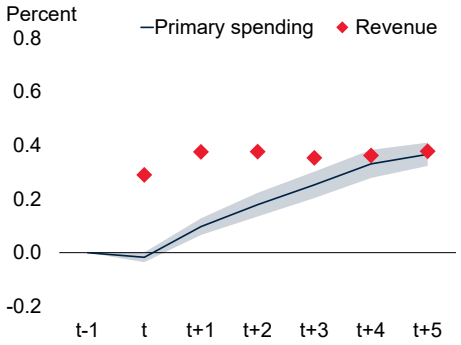
A. Fiscal revenue



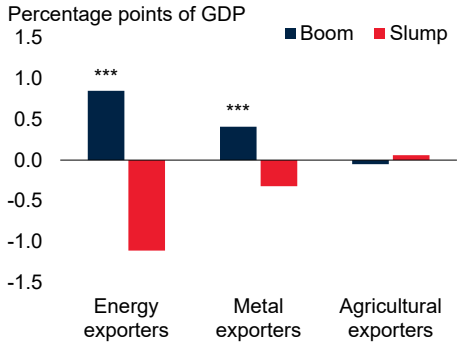
B. Primary expenditure



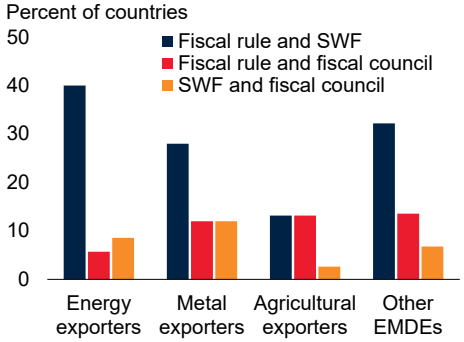
C. Impact of a 1-percent increase in commodity price index on spending and revenue



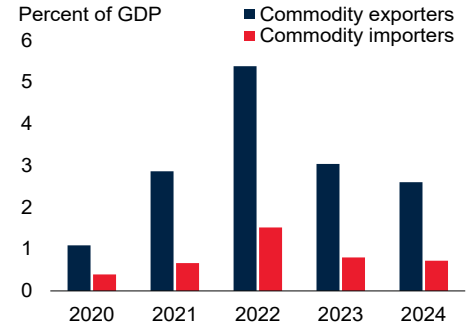
D. Change in primary balance over commodity cycles



E. Fiscal framework combinations, 2024



F. Fossil-fuel subsidies



Sources: Alonso et al. (2025); Fossil Fuel Subsidy Tracker; Global SWF; International Monetary Fund; World Bank.
Note: EMDEs = emerging market and developing economies; SWF = sovereign wealth fund.
A. Panel shows median fiscal revenue (percent of GDP) for up to 94 commodity-exporting and 59 commodity-importing EMDEs.
B. Panel shows median primary government expenditure (percent of GDP) for up to 92 commodity-exporting and 56 commodity-importing EMDEs.
C. Line shows the cumulative change in primary expenditure (in percent) in the years following a positive shock to a pooled commodity price index, which uses the World Bank's energy price index for energy exporters, the metal price index for metal exporters, and the agricultural price index for agricultural exporters. Shaded area shows 90 percent confidence interval. Diamonds show the corresponding change in revenues. Results are from local projection regressions for a sample of 88 commodity-exporting EMDEs (31 energy exporters, 24 metal exporters, and 33 agricultural exporters). Annex 4.2 of chapter 4 provides further details.
D. Panel shows the median change in primary balance during commodity price booms and slumps. ***, **, and * denote differences between booms and slumps that are statistically significant at the 1, 5, and 10 percent levels, respectively, based on a non-parametric *k*-sample test. Sample of commodity-exporting EMDEs includes 34 energy exporters, 25 metal exporters, and 37 agricultural exporters.
E. Sample of EMDEs includes 35 energy exporters, 24 metal exporters, 35 agricultural exporters, and 59 other EMDEs.
F. Bars show the weighted average of fossil-fuel subsidies as percent of GDP. Sample includes 91 commodity-exporting EMDEs and 54 commodity-importing EMDEs.